



ZESA HOLDINGS (PVT) LIMITED

STORES NORMS & PROCEDURES



PART A: STORES NORMS



TABLE OF CONTENTS

PART A: STORES NORMS

Introduction	Page 4
Authorisations	Page 13

PART B: MATERIAL MASTER AND STORES PROCEDURES

Methodology	Page 15
Material Master Procedure	Page 15
Receiving Materials into Stores	Page 17
Goods Receipt on Site	Page 33
Issuing Materials from Stores	Page 37
Fuel Issue	Page 41
Goods Return to Supplier	Page 45
Goods Return from Users	Page 48
Inter-Stores Transfers	Page 53
Stock taking and Sampling	Page 58
Repair of Material	Page 63
Declaration of Obsolete Material	Page 68
Sale of Scrap Material	Page 72
Stock Management Control	Page 75



INTRODUCTION

1. PURPOSE

The purpose of the ZESA Holdings (Pvt) Ltd Stores Norms & Procedures Manual is to detail policies and procedures that must be followed within all the Stores in ZESA Holdings (Pvt) Ltd. The outlined policies must be followed without deviation unless with the Group Financial Controller's permission in writing. The manual must be made available to all relevant employees who handle the various aspects of the Group's work.

The Stores Norms & Procedures have been established with the goal of regulating and optimizing stores activities.

They should be used to:

- Define management criteria.
- Establish which responsibilities correspond to the different people involved in this activity.
- Provide information to people outside of the activity but related to it.
- Guarantee users a certain quality of service.

2. DESCRIPTION

OBJECTIVE

These regulations aim to record the most important standards existing in the company regarding the existence of stores, the materials in these stores, and management of this storage activity. The objectives of this manual can be summarized as:

- To define the scope of stores accounting and the various activities involved.
- To outline detailed policies of ZESA Holdings (Pvt) Ltd and standard procedures that must be followed throughout ZESA Holdings (Pvt)



Ltd so as to ensure that ZESA Holdings (Pvt) Ltd's assets are secure, properly accounted for and are kept in good condition.

- To achieve standardization and ensure ease of communication, accurate and timely reporting, similarity in costs accumulation and comparability of results.

SCOPE

These regulations will apply to operating guidelines and procedures, and to the responsibilities established for managing all resources used in corporate storage processes; they will be obligatory for everyone involved in these processes.

DEFINITIONS

▪ **Physical Stores**

These are open or covered places in which materials are stored. Each store is associated with certain human and material resources. Stores may be classified into:

a) Central Store:

This acts as the central buying office for ZESA Holdings (Pvt) Ltd. It is responsible for maintaining the adequate levels of stock of materials in the various stock rooms for subsequent delivery to primary stores and or user units as necessary. It is administered using applicable Stock Control parameters.

b) Primary Store:

These stores are located in Subsidiary Companies' areas and Power Stations and contain materials for general use by User Units, or to provide materials to other sub-stores. They receive materials from Central Stores, Regional Purchases and also from other primary stores via transfers. They are administered using applicable Stock Control parameters.

**c) Secondary Stores:**

These stores are in the same area and contain materials appropriate to User Units. Their administration procedure is the same as for Primary Stores, although replacements take place on a constant basis. They can only receive material from Primary Stores.

d) Depots:

These are forwarding stores that receive stock items from Primary and Secondary store(s) within the same Area.

▪ Materials/Articles:

These are items of a physical nature, whether raw materials or finished products that may be considered storable. The materials can be classified into:

a) Stored:

Those materials that, in accordance with their technical or functional characteristics, and as advised by suppliers, are stored and may be further classified as:

- **Codified** Stored materials identified by a code for improved internal management.

▪ Supplier:

An individual or company capable of meeting ZESA Holdings (Pvt) Ltd's requirements for materials.

▪ Sampling:

A selective or random process that checks the stocks of a specific material in a particular store.

▪ Stock take:



A process which checks whether the physical stocks of all materials in a certain Store correspond with the quantities in the System. Stock take should be performed in all stores with sufficient regularity to guarantee reliability, although the high costs involved must also be taken into consideration. The stock take is done at semi-annually and annually.

- **Adjustments**

The process which adjusts and settles any differences that have been encountered in sampling inventories. These must be duly authorized and certified by the appropriate responsibility level.

- **User Unit**

The Unit, which establishes, justifies and authorizes the need for materials.

- **Specialized Unit**

The Unit exclusively responsible for acquiring certain types of materials.

- **Inspection Unit:**

The Unit responsible for guaranteeing that materials conform to pre-established technical characteristics. This is not a physical unit. It is a role of the department.

- **Managing Unit**

The Unit exclusively responsible for managing part or all of the materials stored in a store.



3. EXECUTION

3.1 Storable Material

In order to declare any material storable, we must first analyse the characteristics of ZESA Holdings (Pvt) Ltd. The needs and of the market in which the company is operating, taking the following aspects of the material into consideration:

- Critical or strategic nature of the article to the company
- Normal availability in the market, in the necessary quantities, places and times.
- Financial costs corresponding to the stores

The criteria must be revised continuously, due to market changes.

3.2 Existence of Stores

Corporate consumption of materials demands that strategically located premises are established, enabling materials to be stored and available in economically and technically adequate quantities.

However, stores activities should tend towards a reduction of stocks, as material planning, production, and distribution procedures improve.

3.3 Store Objectives

The main objective of running the authority's stores is that of providing a certain quality of service, guaranteeing that User Units are supplied at the minimum cost possible, through the use of Economic Order Quantity (EOQ) and Re-order Point method and optimizing:

- The efficient use of available human and material resources.
- Simplified classification, location and handling of stores materials.



3.4 Planning for Stocks

The Materials Requirement Planning monitors consumption of stock items and forecasts the company's future needs for stocks, long enough in advance to facilitate the attainment of future objectives.

Materials Requirement Planning concentrates on the various key issues involved in this function:

- Stored materials
- Human and mechanical resources
- Equipment
- Management costs

The advantages of carrying out correct planning procedures are as follows:

- Maintaining optimal stock levels
- Equipment and material obsolescence is minimized
- The number of human resources personnel is properly adjusted.
- Storage and stock out costs are minimized.

3.6 The Storage Function

The storage function in ZESA Holdings (Pvt) Ltd may be thought of as an intermediary process between the suppliers of goods needed to carry out corporate business activities and the final users (i.e. User Units).

This function provides services to all the Units.



3.7 Responsibilities

Stores

The main responsibilities in stores operations may be summarized as follows:

Stores Administrator /Supplies Officer/Stores Officer/Storekeeper In-charge

- Manage the store
- Supervise operations
- Perform management control

Storekeeper In-charge

- Check and records input and output documents.
- Regulate supplier deliveries
- Prepare reports statistics, etc.

Storekeeper

- Organise operations
- Supervise the maintenance of premises and equipment
- Ensure the security of people and facilities

Stores Clerk /Stores Assistant

- Execute operations to move and handle materials
- Organise and clean the premises
- Dispatch goods by means of a Stores Transaction Form

All premises or grounds used, as stores will be assigned a person in charge.



ACCOUNTING PRINCIPLES AND POLICIES

The accounting principles and policies adopted for the stores accounting system is as follows:-

1. Receipt and issues of stock are valued at the weighted average invoice cost.
2. Transport and insurance charges, plus any customs duties, surtax are added to the invoice price when calculating the cost of imported stores items.
3. Stock transfers between Business Units are at cost.
4. Returns of previously issued stores items are valued at the price at which the original issues were charged.
5. Returns of Damaged Transformers, Switchgear and any reparable equipment will be valued at 40% of the current weighted average cost. When the Transformers, Switch gear and equipment have been repaired they will be accepted into Stock at 40% of the original weighted average plus repair costs.

HOUSEKEEPING

Ware housing and Storage

The receiving, storage and dispatch areas must be clearly demarcated.

1. The Storekeeper must ensure that all materials received in stores are properly stored to minimize deterioration, leakage or damage and also to ensure that they can easily be located when required for issue.
2. A suitable numbering system must be developed for the identification of locations where materials are stored.

Security and Safety



1. Only stores personnel and those collecting materials must have access to the stores premises.
2. Items susceptible to pilferage must be kept securely locked at all times.
3. Highly flammable and hazardous materials must be isolated and clearly marked (where possible separate storage must be provided).
4. Adequate fire precautions must always be in place at all times e.g. working fire extinguishers, fire hoses, sand buckets and fire guards.
5. Safety signs must be installed throughout the stores areas and all personnel must be made aware of safety regulations.
6. A First Aid box must be available at all times.
7. All materials handling equipment must be inspected frequently and only be operated by trained personnel.

STORES FUNCTIONS AND RESPONSIBILITIES

The Main Stores functions and responsibilities can be summarized as follows:-

1. Recommend and implement ZESA Holdings (Pvt) Ltd's policies as regards stores and inventory management.
2. Receiving of all stores materials and consumables ordered in ZESA Holdings (Pvt) Ltd.
3. To ensure an effective and efficient utilization of ZESA Holdings (Pvt) Ltd's resources in the provision of materials to User Departments. This is achieved through continuous monitoring and maintenance of maximum and minimum stock levels and timely dispatch of requested materials.
4. Follow up of orders in consultation with the buying personnel.
5. Ensuring the enforcement of the stores accounting system and regulating and monitoring their correct implementation.
6. Arrange for procedures and smooth carrying out of the continuous and annual inventory.
7. Identify slow-moving stock and scrap and recommend appropriate course of action.
8. Facilitate the identification and the disposal of scrap/obsolete stock in consultation with the User Departments.

1. ECONOMIC LEVELS

2. STORES ISSUE AUTHORISATIONS

3. INTER-STORES TRANSFER AUTHORISATIONS

These levels will be applied, according to the following criteria:

Transfer between Primaries -Supplies/Stores Officer/Store Keeper
In Charge

Transfer between Primary and Depot -Supplies/Stores Officer/Store Keeper
In Charge

However, under circumstances arising from the volume or amount of the authorization process in which they participate, responsibilities could be changed, to give specific holders higher levels than those assigned by the hierarchical criteria.



4. GOODS RETURN FROM USER AUTHORISATIONS

Assignment Criteria

These levels will be applied, according to the following criteria:

Goods return from User	Supplies/Stores Officer/Store Keeper In Charge
------------------------	---

However, under circumstances arising from the volume or amount of the authorization process in which they participate, responsibilities could be changed, to give specific holders higher levels than those assigned by the hierarchical criteria.



PART B: MATERIAL MASTER AND STORES PROCEDURES

1. METHODOLOGY

1.1 DEFINITIONS

Procedure

These processes are undertaken to achieve a certain task. A procedure describes the steps involved in carrying out an activity or task and can be prepared in two ways:

- Written
- Flow chart

a) Written

This is a written description of the steps involved in carrying out an activity or task. A number is assigned to each step and the person and unit responsible for each unit identified thereof.

b) Flow chart

This is a diagrammatic representation of the steps involved in carrying out an activity. Codes are assigned to steps and represent the flow of steps. Symbols are used to denote documents, information flow, activities and decision blocks.

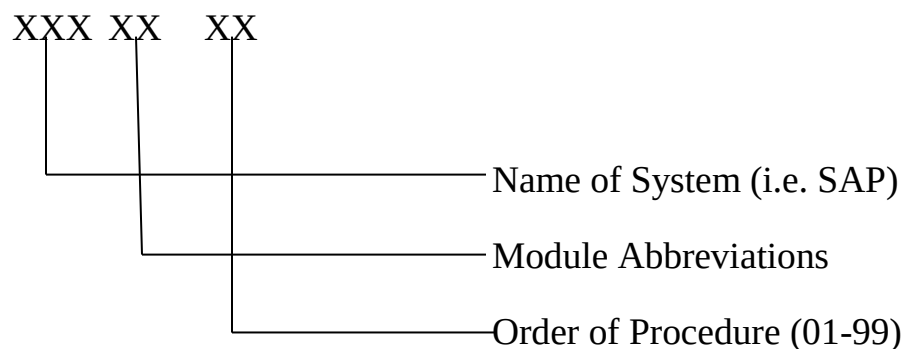


1.2 SYMBOLS

SYMBOL	MEANING
ACTIVITY 	Explains tasks to be done
DECISION 	This is a decision block, which comes in a form of a question. Only two possible answers – YES or NO
ARROW(S) 	Information flow
	End of task
	Procedure continues on next page
	Generation of a document

1.3. CODIFICATION OF PROCEDURES

A seven-character coding system is used to identify procedures as shown below:-





Example

SAP	-SAP System procedure
MM	-Materials Management Module (TSCM)
01	-Order of Materials Master Procedures

ABBREVIATIONS OF SAP MODULES:

ABBREVIATION	REFERENCE
MM	Materials Management (TSCM) Module
IM	Inventory Management Sub-module

PROCEDURE TSCM 50-01 – INPUT OF NEW ARTICLE

0. PURPOSE

To regulate the process of logical identification of stock and non-stock materials, also to ensure precise and accurate description of materials.

All codes should be created and maintained at company level

1. DESCRIPTION

OBJECTIVE

Define in the materials master record a material that does not have an article code.

SCOPE

This procedure applies to any new material/services to be created in the materials master/service master record.



2. DEFINITIONS

Materials Master Record:

This is a database that contains comprehensive information about all the materials that a company procures and stores. A logical coding structure has been adopted to facilitate classification of articles. The coding of articles is limited to 10 – character code that contains Group, Subgroup, Classes and Article.

3. EXECUTION

3.1 Responsibilities:

The actions in this procedure give rise to the following responsibilities and activities.

- User: Introduces proposal of new article in SAP (Materials Management)
- Stores Administrator: Analyses all proposals introduced by Users and rejects or approves new article(s) and extend to make it operational.

3.2 Procedure Guarantees:

- It is necessary that Stores Administrator consult Materials Master Record extensively before inputting proposals into SAP
- Stores Administrator should consult article proposals on a daily basis and take appropriate action as necessary to minimize delays in purchasing.



PROCEDURE SAP 50-01 – INPUT OF NEW MATERIAL

Responsible Unit	Responsible Function	Activity
ANY DEPARTMENT	USER	10 Identify need to create a new material
		20 Consult information in SAP through transaction 201/241
		30 Does material exist in Material Master Record a) If YES, END OF PROCEDURE. b) If NO, proceed to 40.
		40 Consult the responsible officer for article creation END OF PROCEDURE.
STORES ADMINISTRATOR		50 Consult information in SAP through transaction MM01 to confirm the need to create the material.



Responsible Unit	Responsible Function	Activity
STORES ADMINISTRATOR		60 Does the Material exist in Material Master Record a) If YES, proceed to 70 b) If NO, proceed to 80
		70 Inform user and extend the material to plant and storage location END OF PROCEDURE
		80 Check data that was introduced by the User
		90 Is data OK? a) If YES, proceed to 100 b) If NO, proceed to 110
		100 Input correct data and create material END OF PROCEDURE
		110 Correct data and create material END OF PROCEDURE



PROCEDURE TSCM 50-02 – MAINTANANCE OF ARTICLES

0. PURPOSE

To regulate the process of maintenance of articles. All codes should be maintained at company/subsidiary level.

1. DESCRIPTION

OBJECTIVE

To describe those actions to be followed by stores in order to:

- To carry out changes on description to existing articles
- In the case whereby the material has been defined correctly for one plant it can be extended to another plant.

SCOPE

This procedure applies to any material to be maintained.

2. DEFINITIONS:

Material Master Record

This is a database that contains comprehensive information about all the materials that a company procures and stores. A logical coding structure has been adopted to facilitate classification of articles. The coding of article is limited to 10-character code that contains Group, Subgroup, Classes and Material.



3. EXECUTION

3.1 Responsibilities

The actions in this procedure give rise to the following responsibility and activities.

- User: Identifies need to maintain article(s)
- Stores Administrator: Effects alteration of information changes.

3.2 Process Guarantees:

Material can only be deleted when the bin is empty, there is no pending purchase order and when a need arises through consultation with the User.

Responsible Unit	Responsible Function	Activity
STORES ADMINISTRATOR		100 Mark the article for deletion in SAP ENDOF PROCEDURE
		110 Inform the user that it is not possible to delete the article END OF PROCEDURE



PROCEDURE TSCM50-03 – INPUT OF NEW VENDOR

PURPOSE

To regulate the process of maintenance of Vendors and to ensure their precise and accurate description.

1. DESCRIPTIONS

OBJECTIVE

Define in the vendor master record a vendor that does not have a catalogue record.

SCOPE

This procedure applies to any new vendor to be created.

2. DEFINITIONS

Vendor Master

The vendor master record contains comprehensive information about all the vendors from which ZESA Holdings (Pvt) Ltd procures materials and/or services.

3. EXECUTION

3.1 Responsibilities:

The actions in this procedure give rise to the following responsibilities and activities.



- User: identifies needs to create a new Vendor.
- Purchasing Officer/Buyer: Approves the creation of new Vendor and take steps to make it operational.

Responsible Unit	Responsible Function	Activity
PURCHASING UNIT	BUYING OFFICE/BUYER	100 All data OK a) If YES, proceed to 110 b) If NO, proceed to 120.
		110 Create vendor END OF PROCEDURE
		120 Vendor provides more data and then create vendor END OF PROCEDURE.



PROCEDURE TSCM50-04 – MAINTENANCE OF VENDORS

PURPOSE

To regulate the process of maintenance of Vendors.

1. OBJECTIVE

To carry out modifications to existing Vendors and also to enter additional information.

SCOPE

This procedure applies to any Vendor for whom additional information has to be entered or data modified.

2. DEFINITIONS

Vendor Master

The Vendor master record contains the descriptions of all the vendors ZESA Holdings (Pvt) Ltd procures materials and services from.



3. EXECUTION

3.1 Responsibilities

The actions in this procedure give rise to the following responsibilities and activities.

- User: identifies needs to modify Vendor information.
- Buying Officer/Buyer: Takes steps to modify Vendor information.

Process Guarantees:

- Can only delete Vendor if no posting details are attached to it (no quotation, no request for quotation, no purchase order, no account balance, no goods receipt from the vendor) and when need arise.

PROCEDURE TSCM50-04 – MAINTENANCE OF VENDORS

Responsible Unit	Responsible Function	Activity
ANY UNIT	USER	10 Identify need to maintain additional information about Vendors
		20 Notify buyer about information to be maintained
PURCHASING UNIT	BUYING OFFICE/BUYER	30 Analyse the information (requirements).
		40 Is there need to add more information on the Vendor in SAP



		a) If YES, proceed to 50 b) If NO, proceed to 60
		50 Add the additional information in SAP. END OF PROCEDURE
		60 Is there a need to change the information about the Vendor in SAP? a) If YES, proceed to 70. b) If NO, proceed to 80.
		70 Change information about Vendor in SAP END OF PROCEDURE
PURCHASING UNIT	BUYING OFFICER/BUYER	80 Is it necessary to delete the Vendor? a) If YES, proceed to 90 b) If NO, END OF PROCEDURE
		90 Is there any pending Purchase orders for the vendor? a) If YES, proceed to 110 b) If NO, proceed to 100
PURCHASING UNIT	BUYING OFFICE/BUYER	100 Delete the Vendor in SAP END OF PROCEDURE
		110 Inform the user that it is not possible to delete the Vendor. END OF PROCEDURE



PROCEDURE TSCM52-01 – GOODS RECEIPT FROM SUPPLIER

PURPOSE

To co-ordinate User Unit demand with stores availability levels, given that only real needs give rise to orders.

1. DESCRIPTION

OBJECTIVE

To describe necessary actions during the period when materials are in transit between supplier and stores, until the time when these materials enter into the stores receiving unit or are delivered to the specific site.

SCOPE

This process applies to the input of any material item into central stores, primary or depot stores when appropriate, as long as it proceeds from a supplier. It also applies to input of material at the sites.

2. DEFINITIONS

Delivery Note:

Notice of delivery, prepared by the supplier and signed by the person who receives the goods. It does not normally include the price, and serves as the starting point for invoicing. It is used to recognize that a determined quantity of a certain material has been received.

Delivery:



Process in which the Stores Officer/ Storekeeper in charge, accepts the delivery of materials. At the site, the User will receive material.

Store Transaction form (Goods Received Note):

Documents indicating the reception and acceptance of materials. It implies the input (in Accounting) of the material into the subsidiary company.

3. EXECUTION

a. Responsibilities

The actions performed in this procedure give rise to the following responsibilities:

Stores Officer/Storekeeper In charge

- Monitors movement of stock items, stock availability and orders in progress.
- Request goods from suppliers as and when necessary.
- Prepare the Stores Transaction Form (GRN).

Supplier

- Provide materials as per order, meeting a series of requirements such as preparing the Delivery Note, indicating the reference number of the order, and checking the quantity or number of packages to be delivered.

Carrier

- Deliver the cargo which should be exactly as described in the Delivery Note.



3.2 Process Guarantees

To ensure that these functions are performed correctly, the following stipulations have been established.

- No materials not justified with a previous Purchase Order will be accepted in the store, except those that are subject to an Urgent Acquisition.
- Suppliers may not proceed with delivery without first communicating this to the Stores Officer/ Storekeeper in-charge and receiving his or her approval.
- Materials will be examined upon delivery, also observing their containers and packing as well as complementary parts or elements.
- Materials originating from suppliers will enter the store with their purchase price.

PROCEDURE TSCM 52-01 – GOODS RECEIPT FROM SUPPLIER

Responsible Unit	Responsible Function	Activity
STORE	STORES OFFICER	10 Consult system on orders in progress (i.e. supplier, date of delivery, items and quantity).
		20 Will material be



		delivered to stores, a) If yes, continue to step 40 b) If no, continue to step 30
		30 Continue to procedure of Receiving Material on Site END OF PROCEDURE
SUPPLIER	SUPPLIER	40 Delivers material to Stores/Receiving Unit
STORE	STORE OFFICER	50 Check material with delivery Note
		60 Is quantity OK? a) If yes, continue to step 80 b) If no, continue to step 70
		70 Records discrepancy on Delivery Note
		80 Is quality OK? a) If yes, continue to step 90 b) If no, continue to step 120
		90 Input information into SAP
		100 Generates STF (Goods Received Note)
	STORE ASSISTANT	110



		Puts material in shelves END OF PROCEDURE
	STORE OFFICER	120 Will material be returned? a) If yes, continue by step 130 b) If no, continue by step 150
		130 Inform Purchasing Unit on materials to be returned
		140 Return material to supplier with information on Delivery Note. Return to step 40.
	STORE OFFICER	150 Receiving material into Stores/Receiving Units
		160 Input information in SAP on quantity received.
		170 Generate STF (Goods Received Note).
	STORES ASSISTANT	180 Puts material in shelves END OF PROCEDURE



PROCEDURE TSCM52-02 – GOODS RECEIPT ON SITE

PURPOSE

To co-ordinate User Unit demand with stores availability level, given that only real needs give rise to orders.

1. DESCRIPTION

OBJECTIVE

To describe necessary actions during the period when materials are in transit between supplier and the specific site.

SCOPE

This process applies to the input of any material item delivered on site.

2. DEFINITIONS

Delivery Note:

Notice of delivery, prepared by the supplier and signed by the person who receives the goods. It does not normally include the price, and serves as the starting point for invoicing. It is used to recognize that a determined quantity of a certain item has been received.

Delivery:

Process in which the User accepts the delivery of materials.

Store Transaction Form (Goods Received Note):



Document indicating the reception and acceptance of materials. It implies the input (in Accounting) of the material into the subsidiary company.

3. EXECUTION

3.1 Responsibilities

The actions performed in this procedure give rise to the following responsibilities:

User

- Monitors movement of stock items, stock availability and orders in progress.
- Check quantity and quality of delivered material.
- Notify supplier of any discrepancies within 7 days of receipt of goods.

Supplier

- Provide materials as per order, meeting a series of requirements such as preparing the Delivery Note, indicating the reference number of the order, and checking the quantity or number of packages to be delivered.

Carrier

- Deliver the cargo, which should be exactly as described in the Delivery Note.

Stores Officer

Prepare the Stores Transaction Form (GRN)

3.2 Process Guarantees



To ensure that these functions are performed correctly, the following stipulations have been established:

- No materials not justified with a previous Purchase Order will be accepted in the store, except those that are subject to an Urgent Acquisition.
- Suppliers may not proceed with delivery without first communicating this to the Stores Officer/ Storekeeper in-charge and receiving his or her approval.
- Materials will be examined upon delivery, also observing their containers and packing as well as complementary parts of elements.
- Materials originating from suppliers will enter the store with their purchase price.

Responsible Unit	Responsible Function	Activity
USER UNIT	USER	10 Consult system on orders in progress (i.e. supplier, date of delivery, items and quantity).
		20 Receive materials from Supplier on site.
		30 Inspect received material
		40 Is quantity OK? a) If yes, continue to step 70 b) If no, continue to step 50
		50 Record discrepancy on Delivery Note
		60 Inform Stores about quantity received
		70



		Is quality OK? a) If yes, continue to step 100 b) If no, continue to step 80
		80 Is material usable? (Check technical parameters and decide on whether material is usable or not) a) If yes, continue to 110. b) If no, continue to step 90
		90 Do not receive materials
		100 Inform Purchasing Unit and Stores
		110 Receive material and inform Purchasing Unit. (Material received will not be of right quality but the Stores Officer will have decided that the material can be used and has negotiated with the supplier for a discount.)
		120 Inform Stores
		130 Receive material and inform Stores
STORES	STORES OFFICER	140 Input information in SAP
		150 Generate STF (Goods



		Received Note)
--	--	----------------

PROCEDURE TSCM 52-03 – ISSUING MATERIAL FROM STORES

PURPOSE

To regulate the supply of stores materials to User/Units, in order to meet their demands, or otherwise, to make a record of the User Unit's needs.

1. DESCRIPTION

OBJECTIVE

To describe those actions to be taken by a User/ Unit in order to remove materials from stores, as well as by the store in charge of this output.

SCOPE

This procedure applies to any material leaving a store to be placed at the disposal of a User Unit.

2. DEFINITIONS

Store transaction form (STF) – Store Issue Note:

This records User Unit materials needs. Once this STF has been authorized, it takes on the nature of a delivery order for the material in question.

3. EXECUTION

3.1 Responsibilities



The actions taken in this procedure give rise to the following responsibilities:

User Unit

- Request items stored in the store; far enough in advance when the order exceeds normal anticipated consumption.
- Obtain the necessary means of transportation and remove materials as quickly as possible upon receiving notification of their availability.

Stores

- Inform the User Unit that stocks are available upon receiving the Stores Transaction Form -Stores Issue Note and handing over the quantities recorded in this document.
- Hand over the quantity available and register that part not supplied in stores register if the stores do not have sufficient stocks to fully meet the quantities indicated on the Store Transaction Form.
- Request orders pending from the supplier, and if not available, inform Stock Control of outstanding needs.
- Notify the User when the store has the material requested.
- Arrange for transportation of materials.

3.2 Process Guarantees

- To ensure that these functions are correctly carried out, the following stipulations have been established:
- Materials will be handed over in the shortest time period possible (immediately or within three working days) if stocks are available.
- The Stores Officer/Storekeeper in charge will only hand over those materials recorded on a Stores Transaction Form authorized by the appropriate responsible level, according to the expense amounts detailed in Annex. If judged necessary, the order may be divided into various parts in order to ensure supplies to other User Units as well.

Responsible Unit	Responsible Function	Activity
USER	USER	10



		Request materials through the REQUISITION PROCEDURE
STORES	STORES OFFICER	20 Consult SAP system for material requirements of users
		30 Check material available in stores
		40 Is material in stores enough? If YES, continue to step 60 If NO , continue to step 50
		50 Input information In SAP about available quantity to be issued and continue to step 70.
		60 Input in SAP quantity of materials to be issued. All materials requested by user will be issued.
		70 Inform user about quantity to be issued. Only material available will be issued.

Responsible Unit	Responsible Function	Activity
	STORES CLERK	80 Prepare materials for the user.



USER	USER	90 Collect materials from stores.
STORES	STORES OFFICER	100 Will user collect all material? If YES, continue to step 120. If NO, continue to step 110.
STORES	STORES OFFICER	110 Generate and print STF (Stores issue note) for quantity issued. Continue to step 130.
		120 Generate and print STF (Stores issue note) for all materials issued.
		130 Sign STF (Stores issue note).
		140 Will materials be collected by User or Agent? a) If collected by Agent, continue to step 180. b) If collected by User, continue to step 180.
Responsible Unit	Responsible Function	Activity
AGENT	AGENT	150 Deliver material to User with copy of STF.
USER UNITS	USER	160



		Receive material and sign document for Agent.
USER	USER	170 Receive and file STF END OF PROCEDURE.
USER	USER	180 Sign STF and collect material.
		190 File STF END OF PROCEDURE.

PROCEDURE TSCM 52-04 – FUEL ISSUE FROM STORES

PURPOSE

To regulate the supply of Fuel to User Units, in order to meet their demands, or otherwise, to make a record of the User Unit's requirements.

1. DESCRIPTION

OBJECTIVE

To describe those actions to be taken by a User Unit in order to receive fuel from a store, as well as by the store in charge of this output.

SCOPE

This procedure applies to any fuel issues from a store to be placed at the disposal of a User unit.

2. DEFINITIONS

Store Transaction Form, Fuel Issue Note:

This records User Unit fuel needs. Once this Stores Transaction Form has been authorized, it takes on the nature of a delivery note.

3. EXECUTION



3.1 Responsibilities

The actions taken in this procedure give rise to the following responsibilities:

User Unit

- Request fuel from the store.

Stores

- Inform the User Unit that fuel is available upon receiving the Stores Transaction Form-Store Issue Note, going on to hand over the quantities recorded in this document.
- Hand over the quantity available and register that part not supplied in a store register if the store does not have sufficient fuel to fully meet the quantities indicated on the Store Transaction Form.
- Request orders pending from the supplier, and if they are not available, inform Stock Control of outstanding needs.

3.2 Process Guarantees

- Only ZESA Holdings (Pvt) Ltd vehicles will be issued with fuel from ZESA Holdings (Pvt) Ltd pumps. These vehicles must have the following markings:-
 - i. A blue line with letters of ZESA's Holdings (Pvt) Ltd Subsidiary company written on plus the fleet number.
 - ii. A sticker with ZESA Holdings (Pvt) Ltd's Subsidiary Company LOGO plus the fleet number.
 - iii. Fuel coupons, where applicable.



The only exceptions to the above are vehicles in personal allocation to management whose list is supplied and updated by the respective Transport Officer periodically.

- The driver of the vehicle must produce the ZESA Holdings (Pvt) Ltd identity on request.
- The ZESA logo must be made available on request.
- On receipt of the fuel, the driver must only sign for the number of litres received.
- The fuel attendant must carry out a daily dip to ensure that the fuel in the tanks reconciles to the records and any discrepancies noted.
- The business unit storekeeper must ensure that a monthly dip is done for all the fuel tanks.
-

PROCEDURE TSCM 52-04 – FUEL ISSUE FROM STORES

Responsible Unit	Responsible Function	Activity
USER UNIT	USER	10 Manually fill STF for quantity required and have it approved.
		20 Submit STF to Stores Issuing Unit.
STORE	STORE OFFICER	30 Verify STF and its justification (authorization, item code, and quantity).
		40 Is quantity required available? a) If YES, continue by step 60. b) If NO, continue by step 50.



		50 Hand to user part of required quantity of fuel. Continue by step 70.
		60 Hand to user all required quantity of fuel.
		70 Manually fill all information on STF (Store Issue).

Responsible Unit	Responsible Function	Activity
		80 Sign copies of STF and give it to user to sign.
USER	USER	90 Sign STF.
STORE	STORE OFFICER	100 Distribute copies of STF and file one copy of document.
		110 Input all information in SAP END OF PROCEDURE.



PROCEDURE TSCM 52-05 – RETURN DELIVERY

PURPOSE

To avoid economic loss resulting from receipt of defective materials into stores and to regulate the relations between ZESA Holdings (Pvt) Ltd and its suppliers when materials provided by the latter are not in condition to be used in the productive process.

1. DESCRIPTION

OBJECTIVE

To describe the actions to be performed in order to return materials in defective or sub-standard usage conditions to their supplier.

SCOPE

This procedure is used when returning defective items already accepted in a store to their supplier.



2. DEFINITIONS

Credit note:

Reflects the monetary amount paid to the company by the supplier, as a result of returning materials.

Defective Material:

Material items that cannot be accepted for technical reasons resulting from their manufacturing process, or because of their physical characteristics.

Store Transaction Form (Goods Return to Supplier Note):

Document used to return material to the supplier after this material has already entered the store and material registered using the Stores Transaction Form – Goods Received Note from Supplier.

3. EXECUTION

3.1 Responsibilities

The actions performed in this procedure give rise to the following responsibilities:

PROCEDURE TSCM 52-05 – GOODS RETURNED TO SUPPLIER

Responsible Unit	Responsible Function	Activity
PURCHASING UNIT	PURCHASING OFFICER	10 Receive information about materials of poor quality received.
		20 Inform Supplier about



		materials.
		30 Were materials received in Stores? If YES, continue to step 70. If NO, continue to step 40.
		40 Contact supplier to collect materials.
STORES	STORES OFFICER	50 Return materials to supplier.
		60 Generate STF (Stores issue note). END OF PROCEDURE.
PURCHASING UNIT	PURCHASING OFFICER	70 Is complaint justified? a) If YES, continue to step 80. b) If NO, END OF PROCEDURE.
PURCHASING UNIT	PURCHASING OFFICER	80 Was invoice received? a) If YES, continue to step 90. b) If NO, END OF PROCEDURE.
		90 Was invoice paid? a) If YES, continue to step 120. b) If NO, continue to step 100.
		100 Return invoice to supplier.
		110 Wait for correct invoice from Supplier.



		Return to step 80.
STORES	STORES OFFICER	120 Are there any differences between cost of materials and invoice? a) If YES, continue to step 140. b) If NO, continue to step 130.
		130 Confirm invoice in SAP END OF PROCEDURE.
		140 Adjust differences.
		150 Input information in SAP END OF PROCEDURE.

PROCEDURE TSCM 52-06 – GOODS RETURN FROM USERS

PURPOSE

To regulate the processes for returning all types of material to the store (useful, transferable, modifiable, and some material items to be discarded).

1. DESCRIPTION

OBJECTIVE

To describe those processes to be executed by User Units returning a material or equipment item, and by the store they will be assigned to.

SCOPE

This procedure will apply to all material handed over by User Units, as long as they are transferred to a central, primary or secondary store or depot store.

2. DEFINITIONS



Stores Transaction Form (Stores Return from Users):

This document is used to make an internal record of stores movements, both for outputs and inputs of goods.

Usable Material:

Those items or equipment items that are in a condition to be used by any of the company's User Units.

Repairable Material:

Those that have temporarily lost its functional capacity, but can be recovered by means of repair.

Modifiable Material:

When its operative usefulness can be improved or adapted by means of a technical modification

Transferable Material:

Materials which can no longer be used, such as obsolete equipment, defective materials or non-usable remains of materials, as well as other materials resulting from operations that, because of their toxic or dangerous nature, are sent to the store to be transported and treated later.

Discardable Material:

Residues produced during operations; they will ultimately be removed to a rubbish dump.

3. EXECUTION

3.1 Responsibilities

The actions performed in this procedure give rise to the following responsibilities:

**User Unit:**

- Classify materials to be returned and hand them over to the corresponding stores.

Store Officer, Storekeeper in Charge

- Check, accept, and sign material deliveries.

Carrier

- Deliver the cargo in the same condition as it was received from the User Unit.

3.2 Process Guarantees

These stipulations have been established to ensure the above functions are carried out correctly;

- Some discardable materials will not be moved to the store.
- The rest, barring certain exceptions, will be delivered to the store that best corresponds.
- Usable materials will enter the store at their average price when originating from construction project in progress, and their net book value (initial price minus accumulated depreciation) when proceeding from an operative facility.
- Transferable materials will enter the store at zero prices and with their code adjusted to the new situation.
- Economic treatment of repairable or modifiable materials will correspond to the Material Repair Procedure.



PROCEDURE TSCM52-06 – GOODS RETURN FROM USERS

Responsible Unit	Responsible Function	Activity
USER	USER UNIT	10 Identify material to be returned to Stores.
		20 Is material usable? If YES, continue to step 60. If NO, continue to step 30.
		30 Is material repairable? If YES, continue to step 50. If NO, continue to step 40.
		40 Continue by Procedure Declaration of Obsolescence.
		50



		Continue by Procedure Repair of Material. END OF PROCEDURE.
		60 Prepare list of materials to be returned to Stores.
		70 Generate STF (Goods returned to stores).

Responsible Unit	Responsible Function	Activity
		80 Contact Unit Stores.
		90 Deliver materials with copy of STF.
STORE	STORE OFFICER	100 Receive materials from User. Add materials to stock.
		110 Input material in SAP
		120 Generate STF (Goods Received Note).
		130 Sign STF and give a copy to the User. File copy of STF. END OF PROCEDURE.



PROCEDURE TSCM 52-07 – INTER STORES TRANSFER

PURPOSE

To maintain material available at an optimum level in the company's Stores, central, primary and depots, so that no store contains either excessive stocks, inflating stock holding costs, nor stock deficits, preventing them from being able to provide User Units with adequate supplies.

0. DESCRIPTION

OBJECTIVE

To describe those activities that must be performed in order to transfer materials from one store to another, both by the store (primary or secondary) in need of the transfer, and by the central or primary store transferring needed materials.



SCOPE

This procedure applies to all transfers of stocks from a central to primary or a primary to a secondary store (the later linked to the former), or to another primary, with the goal of maintaining an optimal availability level.

1. DEFINITIONS

Store Transfer Form (Inter Store Transfer):Transfer Posting

This records the transfers of material between stores. Once this Store Transaction Form has been authorized, it takes on the nature of a Delivery order for the material in question.

2. EXECUTION

2.1 Responsibilities

The actions performed in this procedure give rise to the following responsibilities:

Stock control:

- Be familiar with levels of available stocks and User Unit supplies, requests, and analyse and decide on material transfers between stores.

Stores Officer/ Storekeeper in charge of supplying stores:



- Check, prepare and deliver pending transfers, together with the Store Transaction Form signed by the carrier/representative of the User Unit. Follow up on transfers pending reception, request them, and check that they are correct.

Carrier/ Representative of User Unit:

Check that the cargo corresponds with the materials indicated on the Store Transaction Form and deliver it in the same conditions.

User Unit:

- Request and justify the need for materials whose availability required a transfer between stores, removing these materials as soon as possible.

2.2 Process Guarantees

To ensure that the functions described above are correctly carried out, the following stipulations have been established.

- The issuing store will attend to transfer requests, unless they are cancelled by Stock Control in order to guarantee the availability of the material in question and the normal functioning of this store.
- The issuing store will give priority to urgent needs resulting from operations or the supply to clients, with Stock Controls Section prior knowledge and authorization. If this situation should arise, the materials in question will be delivered as quickly as possible, even if stocks are abnormally reduced.



PROCEDURE TSCM 52-07 – INTER STORES TRANSFER

Responsible Unit	Responsible Function	Activity
SUPPLYING STORE	STORE OFFICER	10 Consult information in SAP about transfers of material to other stores.
		20 Inform Store Keeper/Assistant about items and quantity of material for transfer to other store.
	STOREKEEPER /ASSISTANT	30 Prepare material for transfer and inform the Stores Officer.



	STORE OFFICER	40 Generate STF (Goods Issue Note) and sign it.
AGENT/RECEIVING STORE	AGENT/STOREKEEPER OR ASSISTANT	50 Take material with STF (Goods Issue Note).
		60 Check material (items, quantity and quality).
		70 Transport material to Receiving Store.

PROCEDURE TSCM 52-07 – INTER STORES TRANSFER

Responsible Unit	Responsible Function	Activity
SUPPLYING STORE	STORES OFFICER	80 Take material and copy of STF (Goods Issue Note) and check material.
		90 Are materials, quantity and quality OK? a) If YES, continue by step 100 b) If NO, continue by step 120.
	STORES OFFICER	100 Input in SAP information about material issued
RECEIVING STORE	STORE OFFICER/SECURITY	110 Print STF (Goods Received Note), distribute copies of STF and file one copy. END OF PROCEDURE.



	STORE OFFICER	120 Inform Receiving Store or Agency about differences.
		130 Adjust differences with Supplying Store or Agency.
		140 Input in SAP information about material received.
		150 Print STF (Goods Received Note) distribute copies of STF and file one copy. END OF PROCEDURE.
PROCEDURE TSCM 52-08 – STOCK TAKING AND SAMPLING		

PURPOSE

To know what quantities of stocked materials are really available in the company's stores, as well as their value, making the economic management of these stores and the monitoring of strategic or valuable materials more efficiently.

1. DESCRIPTION

OBJECTIVE

To describe the actions that must be performed in order to find out what quantities of materials are physically available in stores and to check whether these real quantities correspond to those that are registered in Accounting.

SCOPE

This procedure applies to any check, global or partial, of the material stocks stores in the company's central, primary or secondary store.



2. DEFINITIONS

Spot Checks:

The process, which may be selective or random, of checking a selection of material stocks stored in a certain stores especially high value and fast moving items.

Stock takes:

The process which checks all material stocks stored in a certain store to see whether they reconcile with those quantities registered in Accounting (mid and end of year.)

Debit or Credit Adjustments:

The process which adjusts and settles any differences that are discovered by performing samples and inventories. These processes must be authorized by the Finance Manager.

3. EXECUTION

3.1 Stores:

- Carry out the actual Spot checks or Stock take with outsiders doing the counting and recording on stock sheets. Stock sheets are kept by the accounting officer.
- Process and Communicate the outcome of these procedures if differences between physical and accounting stocks are discovered.

Authoriser:-Finance Manager

Authorises the debits and credits done after stock counts

3.2 Process Guarantees

To ensure that these functions are carried out correctly, the following stipulations have been established:



- Stock takes should be carried out in all stores with the sufficient frequency to ensure their reliability, at the same time taking the high costs involved into consideration.
- The frequency of samples and Stock takes will be based on such characteristics of the materials in question as their turnover, strategic interest, cost (economic value), etc. or when stocks are damaged, replaced, or declared obsolete or on the Basis of ABC system of classification.
- Samples and Stock takes will be carried out whenever special circumstances so dictate.
- Stock takes will be carried out when business is closed and in the presence of the Accountant and Stores (or delegated person) and of a representative from the hierarchical line responsible for store stocks.

PROCEDURE TSCM 52-08 – STOCKTAKE AND SAMPLING

Responsible Unit	Responsible Function	Activity
STORE	STORES ADMINISTRATOR/SUPPLIES OR STORES OFFICER	10 Analyse Stock and propose Stock take or Sampling.
		20 Is Stock take regular? a) If YES, continue to step 70. b) If NO, continue to step 30.
		30 Select Class/Article or Store in SAP.
		40 Print out list of items.



		50 Physically count items in Store.
		60 Fill information (quantity) on list of articles. Continue by step 130.
		70 Advise Users of stocktaking dates.
		80 Input stocktaking dates in SAP.(Physical Inventory Documents creation)
		90 Print out list of all materials
	PERSONS RESPONSIBLE FOR STOCKTAKE	100 Physically count all items in Store.
		110 Fill in quantity of items on list.
		120 Send list to Accountant
STORE	ACCOUNTANT	130 Input information in SAP (quantity of counted items).
SAP SYSTEM	SAP SYSTEM	140 Compare quantity of items entered and that in inventory.
STORES	STORES ADMINISTRATOR/SUPPLIES OR STORES OFFICER	150 Are there differences between quantity of



		items entered and that in inventory? a) If YES, continue to step 160. b) If NO, END OF PROCEDURE.
		160 Is physical Stock more than in SAP? a) If YES, continue to step 170. b) If NO, continue to step 180.
		170 Generate a variance report
		180 Close Inventory END OF PROCEDURE
	STORES ADMINISTRATOR/SUPPLIES OR STORES OFFICER	190 Send variance report to Finance Manager.
	AUTHORISER-FINANCE MANAGER	200 Authorises Variances END OF PROCEDURE.



PROCEDURE TSCM 52-09 – REPAIR OF MATERIAL

PURPOSE

To maintain the functional capacity of User Units, repairing or modifying materials belonging to these Units internally or externally that are no longer in conditions to be used, ensuring that all operations to this end are performed in accordance with the Company's objectives and, specifically, with minimum cost criteria.

1. DESCRIPTION

1. OBJECTIVE

To describe those actions to be executed when a User Unit detects the need to repair or modify a material item.

SCOPE

This procedure applies to all material items whose technical repair is advisable from an economic stand point. Therefore, no materials classified as non-usable by User Units and handed over to a store to be transferred can be considered in this category.

2. DEFINITIONS

Repairable Materials:

Those which can recover their lost functional capacity by being repaired.

**Modifiable Materials:**

When operational unity can be improved or adapted by means of a technical correction.

3. EXECUTION

3.1 Responsibilities:

The actions performed in this procedure give rise to the following responsibilities:

User Unit:

- Identify and send materials to be repaired or modified to the store.

Stores Officer/ Storekeeper in charge:

- If the receiving Unit is to examine the material once it is delivered to them, request a technical report regarding this examination; once the results are known, suggest to Stock control those decisions that should be adopted.

Receiving Unit:

- Carry out the technical reception procedure, and prepare the report including appropriate recommendations.

Stock Control:

- Analyse whether repairing or modifying the material is advisable from a technical standpoint, and if so, request that the specialised unit carry out the steps required to do so.



Specialised Unit:

- Request and examine budgets, deciding whether repairing or modifying a material item is advisable from an economic stand point, and if not, advice that the material be transferred.

3.2 Process Guarantees:

To ensure that these functions are carried out as described, the following stipulations have been established.

- The receiving Unit when making recommendations will take aspects such as the condition materials, their technical characteristics, how difficult it is to substitute them, and replacement time, into consideration.
- The Specialised Unit will compare the cost of repair or modification with the cost of acquiring a new item, determining the comparative advantage of the operation.
- If the Specialised Unit does not consider the operation to be advantageous, the item will be classified as transferable.
- Repairable or modifiable materials will enter the store from the User Unit in deposit without adding them to stocks. Once they have been repaired or modified, they will return to the store as stocks, in accordance with the following criteria:
 - a. If the item has been repaired, It will enter the store with its original code at its net book value, crediting the User Unit who turned it in. The cost of repair will be assigned to the same User Unit's expense budget.
 - b. If the item has been modified, it will enter the store with the new code, which corresponds, different from the original one and at its



net book value before modification plus the value of the cost of the operation.

PROCEDURE TSCM 52-09 – REPAIR OF MATERIAL

Responsible Unit	Responsible Function	Activity
USER UNIT	USER	10 Identify Material to be repaired.
		20 Provide Technical Report for Material to be repaired.
		30 Fill STF (Store Return).
		40 Send Material with copy of STF to Stores.
STORES	STORES OFFICER	50 Receive Material for Repair and input information of STF into SAP
		60 Can Material be repaired by ZESA Workshop? a) If YES, continue to step 130 b) If NO, continue to step 70.



		70 Inform Purchasing Unit to prepare Order for Repair.
PURCHASING UNIT	BUYER OFFICER/BUYER	80 Raise Order for Materials Repairs and send Order to Stores.
STORE	STORE OFFICER	90 Generate STF (Stores Issue).
		100 Send material for repair together with Order to Repairing company.
REPAIRING COMPANY	RESPONSIBLE PERSON	110 Receive, repair material and send them to Stores.
STORE	STORE OFFICER	120 Receive Material and generates STF (Goods Receive Note) END OF PROCEDURE.
STORE	STORE OFFICER	130 Generate STF for Repairs (Store Issue) and inform Store Assistant/Keeper to prepare Material.
	STORE ASSISTANT/KEEPER	140 Send Material to Workshop with one copy of STF.
WORKSHOP		150 Receive Material for Repair.
		160 Repair Material.
		170 Send Repaired Material to



		Store.
STORE	STORE OFFICER	180 Receive Material from Workshop.
		190 Generate STF (Goods Received Note). END OF PROCEDURE.

PROCEDURE TSCM 52-10 – DECLARATION OF OBSOLETE MATERIAL

PURPOSE

To regulate the process of eliminating those items which no longer serve any functional purpose or are less functional than other material items available in the market. To make updating the Material Master Record simpler, and to establish criteria for calculating the economic value of internal material transactions.

1. DESCRIPTION

OBJECTIVE

To describe the actions to be taken when it becomes obvious that an item should be qualified as non-usable, that is expendable and must therefore be either transferred or discarded.

SCOPE

This procedure will be used for qualifying materials as non-usable when they have a low level of usefulness, in-adaptability to current standards or to qualification criteria, or infrequent User Unit demand suggest doing so.



2. DEFINITIONS

Rarely-moved Materials:

Materials whose outputs from the store have been non-existent or slow (up to three outputs) during the past twelve months.

Perishable Materials:

Materials that can no longer be used once the consumption deadline or best before date is reached.

Replaceable Materials:

Materials that are no longer used when other items appear in the market that fulfill the same functions but offer improved technological or economic conditions.

- Note some materials take very long to move and they must be analyzed before being declared obsolete in accordance with the economic ceiling of regularization. Authorisation implies accepting the cost of obsolescence.
- The User Unit should designate the Item that will replace another, to be declared obsolete, to ensure that the Material Master Record includes that material which will take over the functions of the withdrawn.



PROCEDURE TSCM 52-10 – DECLARATION OF OBSOLETE MATERIAL

Responsible Unit	Responsible Function	Activity
STORE	ADMINISTRATION /SUPPLIES OFFICER/STORES OFFICER	10 Identify obsolete material in Store.
		20 Communicate with User Unit about proposal of obsolete material.
USER UNIT	TECHNICAL PERSON	30 Analyse proposal of Store.
		40 Prepare list of obsolete material (items, quantity, price and justification).
		50 Send list of obsolete material to salvage Committee.
SALVAGE COMMITTEE	TWO TECHNICAL USERS, FINANCE, STORES PERSON	60 Recommend how material must be disposed.
		70



		Send recommendation to Finance Director with justification.
FINANCE DIRECTOR	FINANCE DIRECTOR	80 Analyse recommendation received from salvage committee.
		90 Recommendation approved? a) If YES, continue to step 100. b) If NO, END OF PROCEDURE.

Responsible Unit	Responsible Function	Activity
		100 Is Material for Sale a) If YES, continue to step 110. b) If NO, continue to step 120.
		110 Continue to procedure sale of material. END OF PROCEDURE
FINANCE DEPARTMENT	FINANCE DIRECTOR	120 Inform Store about decision – to transport material to dump site.
STORE	STORE OFFICER- ISSUE TO OBSOLESENCE	130 Generate STF (Store Issue) and inform Store Assistant/Keeper to prepare obsolete material for transport.
	STORE ASSISTANT/KEEPER	140 Transport obsolete material to dumpsite.



		END OF PROCEDURE
--	--	------------------

PROCEDURE TSCM 52-11 – SALE OF SCRAP MATERIAL

PURPOSE

The purpose is to identify obsolete of scrap materials and to dispose it off at least cost and to the best advantage of ZESA Holdings (Pvt) Ltd

1. DESCRIPTION

OBJECTIVE

To describe those actions to be followed by stores in selling obsolete or scrap materials.

Materials can only be sold by either of the following:

- By Auction
- By Tender
- By Private Sale

SCOPE

This procedure applies to all obsolete Materials to be sold by ZESA Holdings (Pvt) Ltd.



2. DEFINITIONS

Scrap:

These are materials or components that are no longer useful for the purpose of which they were acquired or alternative use within ZESA Holdings (Pvt) Ltd owing to extensive use, wear and tear and damaged beyond repair.

Obsolete:

These are partially used or unused items or equipment that have economical worth but are no longer useful to the Business Unit owing to reasons such as changes in process and materials as well as phasing out of equipment.

Salvage Committee:

This is a Committee headed by Business Unit Manager appointed by the Finance Director to identify and facilitate the sale of obsolete or scrap materials.

3. EXECUTION

3.1 Responsibilities

The actions in this procedure give rise to the following responsibility and activities.

- Salvage Committee: Identify Obsolete or scrap materials to be disposed off after the approval of the Finance Director.
- Purchasing Unit: Prepares and adjudicates bids for scrap materials and awards to the highest bidder.



3.2 Process Guarantees:

Materials can only be sold after getting the approval of Finance Director.

PROCEDURE TSCM 52-11 – SALE OF SCRAP MATERIAL

Responsible Unit	Responsible Function	Activity
SALVAGE COMMITTEE	MEMBERS OF COMMITTEE	10 Receive approved recommendations from Finance Director.
		20 Is disposal by Auction? If yes, continue to step 30. If No, continue to step 40.
PURCHASING UNIT	BUYER	30 Advertise for Sale (date of Sale, place of Auction, conditions, and items).
SALVAGE COMMITTEE	MEMBERS OF COMMITTEE	40 Is disposal by Tender? If YES, continue to step 50.
PURCHASING UNIT	BUYER	50 Inform Customer about Material for Sale.
CUSTOMER	CUSTOMER	60 Goes to Stores for Materials.



		70 Pay and collect Material.
STORE	STORES OFFICER	80 Generate STF (Stores Issue) for Material Sold.
		90 Receive Cash for Material sold.
		100 Hand over Cash for Banking to Cash Office. END OF PROCEDURE

PROCEDURE TSCM 52-12 – STOCK MANAGEMENT CONTROL

Responsible Unit	Responsible Function	Activity
CENTRAL STORE/PRIMARY STORE	STORES ADMINIST/SUPPLIES OFFICER/STORES OFFICER	10 Analyse information in SAP system. System proposes (in BATCH process) what items and quantity of material is necessary to buy to have optimal level of stock.
		20 Consult stock level of items in others stores.
		30 Is material (article) in other Store? a) If YES, continue by step 60. b) If NO, continue by step 40.
		40 Input in SAP requirement for material for Central Store or Primary Store to have optimal level of Stock (material, quantity and date).
		50



		Continue by Procurement Procedure END OF PROCEDURE
		60 Communicate with Store Officer in other store about Inter Store Transfer.
		70 Is possible Inter Store Transfer? a) If Yes, continue by step 90. b) If NO, continue by step 40.

Responsible Unit	Responsible Function	Activity
CENTRAL STORE/PRIMARY STORE	STORES ADMINIST/SUPPLIES OFFICER/STORES OFFICER	
		80 Input in SAP information for Inter Store Transfer (store, material, quantity and date).
		90 Continue by Procedure Inter Stores Transfer. END OF PROCEDURE